

Business Review

Apple Inc. — FY2023–FY2025 — Apple FP&A Case Study, Module 01

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Independent case study using public information. This is not an internal Apple file.

Prepared as Module 01 of a driver-based FP&A rolling-forecast case study built on Apple Inc.'s FY2021–FY2025 Form 10-K filings (SEC EDGAR). Every figure in this memo is traceable to a specific page of a specific 10-K; where the 10-K does not disclose something (installed base, unit shipments, Apple Intelligence adoption), that gap is stated explicitly and the substitute public source is labeled.

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Business Overview

Source: FY2025 10-K (aapl-20250927.pdf), Item 1 Business — “Company Background,” “Products,” “Services,” “Segments,” “Markets and Distribution,” and “Competition” — PDF p.4–6 / printed p.1–3.

Apple designs, manufactures, and markets a portfolio of hardware — iPhone (smartphones), Mac (personal computers), iPad (tablets), and Wearables, Home and Accessories (Apple Watch, AirPods, Apple TV, HomePod, Vision Pro) — each built on a proprietary operating system (iOS, macOS, iPadOS, watchOS, tvOS, visionOS) that locks the devices into a single, tightly integrated ecosystem. Layered on top of that hardware base is a Services segment — Advertising, AppleCare, Cloud Services, Digital Content (including the App Store, Apple Music, Apple TV, Apple Arcade, Apple News+, and Apple Fitness+), and Payment Services (Apple Card, Apple Pay) — that monetizes the installed base of devices already in customers' hands rather than requiring a new unit sale. The Company manages its business primarily on a geographic basis across five reportable segments (Americas, Europe, Greater China, Japan, and Rest of Asia Pacific) and sells through a mix of direct channels (its own retail and online stores and direct sales force) and indirect channels such as carriers and other resellers — 40% and 60% of FY2025 net sales, respectively. Apple describes its markets as highly competitive and holds only a minority market share in the global smartphone, personal computer, tablet, and wearables markets, competing primarily on the strength of its integrated hardware/software/services design rather than on price. This two-layer model — a large, premium-priced hardware installed base feeding a higher-margin, recurring Services business — is the structural reason Services (75.4% gross margin in FY2025, vs. 36.8% for Products; see Margin Mix, Section 3) has become the primary lever for blended gross margin expansion even as Products growth moderates.

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Revenue Mix

Source: FY2025 10-K (aapl-20250927.pdf), Item 7 MD&A, “Products and Services Performance” table — PDF p.26 / printed p.23.

Net sales by product/services category, FY2025 vs. FY2024 vs. FY2023 (dollars in millions), exactly as disclosed:

Category	FY2025	Chg vs FY24	FY2024	Chg vs FY23	FY2023
iPhone	\$209,586	4%	\$201,183	—%	\$200,583
Mac	\$33,708	12%	\$29,984	2%	\$29,357
iPad	\$28,023	5%	\$26,694	(6)%	\$28,300
Wearables, Home and Accessories	\$35,686	(4)%	\$37,005	(7)%	\$39,845
Services	\$109,158	14%	\$96,169	13%	\$85,200
Total net sales	\$416,161	6%	\$391,035	2%	\$383,285

The 10-K footnotes that “Services net sales include amortization of the deferred value of services bundled in the sales price of certain products.”

Geographic Segment Detail (Supplementary)

Net sales by reportable (geographic) segment, same source, PDF p.25 / printed p.22 (“Segment Operating Performance” table) — FY2025 figures: Americas \$178,353M (+7%), Europe \$111,032M (+10%), Greater China \$64,377M (–4%), Japan \$28,703M (+15%), Rest of Asia Pacific \$33,696M (+10%); Total \$416,161M (+6%). Included for context; the driver-tree work in Section 10 uses the product-category table above as the primary revenue mix, per the project brief.

SECTION 3 OF 10

Margin Mix

Source: FY2025 10-K (aapl-20250927.pdf), Item 7 MD&A, “Gross Margin” — PDF p.27 / printed p.24.

Products and Services gross margin \$ and %, FY2023–FY2025, exactly as disclosed:

	FY2025	FY2024	FY2023
Products gross margin (\$M)	\$112,887	\$109,633	\$108,803
Services gross margin (\$M)	\$82,314	\$71,050	\$60,345
Total gross margin (\$M)	\$195,201	\$180,683	\$169,148
Products gross margin %	36.8%	37.2%	36.5%
Services gross margin %	75.4%	73.9%	70.8%
Total gross margin %	46.9%	46.2%	44.1%

MD&A commentary (same page): “Products gross margin increased during 2025 compared to 2024 primarily due to favorable costs and a different mix of products, partially offset by tariff costs. Products gross margin percentage decreased during 2025 compared to 2024 primarily due to a different mix of products and tariff costs... Services gross margin increased during 2025 compared to 2024 primarily due to higher Services net sales and a different mix of services. Services gross margin percentage increased during 2025 compared to 2024 primarily due to a different mix of services, partially offset by higher costs.”

Operating Expenses (Supplementary)

Same page (PDF p.27 / printed p.24): R&D \$34,550M (8% of net sales, FY2025); SG&A \$27,601M (7% of net sales, FY2025). Not required by the brief for this section but sourced from the same page for use elsewhere in the case study.

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Capital Allocation

Source: Share repurchases & dividends paid: FY2025 10-K, Consolidated Statements of Cash Flows, “Financing activities” — PDF p.36 / printed p.33. Shares outstanding FY2025/FY2024: FY2025 10-K Consolidated Balance Sheets — PDF p.34 / printed p.31. Shares outstanding FY2023: FY2024 10-K (aapl-20240928.pdf) Consolidated Balance Sheets — PDF p.34 / printed p.31.

	FY2025	FY2024	FY2023
Repurchases of common stock (cash paid, \$M)	\$90,711	\$94,949	\$77,550
Payments for dividends and dividend equivalents (\$M)	\$15,421	\$15,234	\$15,025
Shares issued and outstanding, FYE (thousands)	14,773,260	15,116,786	15,550,061

Note: the Consolidated Statements of Shareholders' Equity (FY2025 10-K, PDF p.35 / printed p.32) show slightly different buyback/dividend figures on an accrual (declared) basis rather than cash-paid basis — “Common stock repurchased” \$90,052M / \$95,846M / \$77,046M and “Dividends and dividend equivalents declared” \$15,413M / \$15,218M / \$14,996M for FY2025/FY2024/FY2023 respectively. The table above uses the cash-flow-statement (cash paid) figures; the small deltas vs. the equity statement are timing/accrual differences, not errors.

Buyback Program Detail (Supplementary)

Item 5 (FY2025 10-K, PDF p.22 / printed p.19): Apple's \$110 billion program (announced May 2, 2024) was fully utilized during Q4 FY2025 (final \$19.8B drawn down); a new \$100 billion program was announced May 1, 2025, of which \$221 million had been utilized as of September 27, 2025 (fiscal year-end). Dividends declared per share/RSU (FY2025 10-K, PDF p.35 / printed p.32): \$1.02 (FY2025), \$0.98 (FY2024), \$0.94 (FY2023).

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Cash Flow

Source: FY2025 10-K (aapl-20250927.pdf), Consolidated Statements of Cash Flows — PDF p.36 / printed p.33.

(\$M)	FY2025	FY2024	FY2023
Cash generated by operating activities (OCF)	\$111,482	\$118,254	\$110,543
Payments for acquisition of property, plant and equipment (CapEx)	\$(12,715)	\$(9,447)	\$(10,959)
Free Cash Flow (OCF – CapEx)	\$98,767	\$108,807	\$99,584

FCF is not a GAAP line item disclosed by Apple — it is calculated here as OCF minus CapEx, using the two disclosed cash flow statement lines above. The arithmetic: FY2025 $111,482 - 12,715 = 98,767$; FY2024 $118,254 - 9,447 = 108,807$; FY2023 $110,543 - 10,959 = 99,584$.

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Installed Base

Finding: the FY2025 10-K does **not** disclose a numeric figure for Apple's own installed base of active devices anywhere in the filing. Full-text search of *aapl-20250927.pdf*, *aapl-20240928.pdf*, and *aapl-20230930.pdf* for “installed base” returns only generic competitive-risk language describing *competitors'* installed bases (e.g., FY2025 10-K Item 1A Risk Factors, PDF p.10 / printed p.7: “Some of the Company's competitors have broad product lines, low-priced products, large installed bases of active devices, and large customer bases”). Apple's own active-device count is never stated in Item 1, Item 1A, Item 7, or the financial statements of any of the three 10-Ks checked.

NOT A 10-K DISCLOSURE — sourced from public earnings-call commentary

On the FY2025 Q1 earnings call (held January 30, 2025, covering the quarter ended December 28, 2024), CEO Tim Cook stated Apple had **more than 2.35 billion active devices** installed worldwide, up roughly 150 million year-over-year. (MacRumors, “Apple Now Has More Than 2.35 Billion Active Devices Worldwide,” Jan 30, 2025; AppleInsider, same date.)

For historical context: Apple first announced crossing the **2 billion active devices** milestone on the FY2023 Q1 earnings call (January 2023).

For full transparency (not used elsewhere in this memo, since it falls after the FY2025 fiscal year that anchors this project): on the FY2026 Q1 earnings call (January 29, 2026), Apple disclosed **2.5 billion active devices**. This is FY2026 data, outside the FY2023–FY2025 scope of this case study's 10-K-sourced figures.

Recommendation used throughout this case study: “more than 2.35 billion active devices (as of the Jan 2025 earnings call, publicly stated by Apple management — not a 10-K disclosure)” as the FY2025-era installed base figure, with the caveat carried through explicitly.

SECTION 7 OF 10

Competitive Landscape

Source: FY2025 10-K (aapl-20250927.pdf), Item 1 Business, “Competition” — PDF p.5–6 / printed p.2–3; Item 1A Risk Factors, competition risk factor — PDF p.10 / printed p.7.

Item 1, “Competition” (PDF p.5 / printed p.2)

“The markets for the Company’s products and services are highly competitive and are characterized by aggressive price competition, downward pressure on gross margins, continual improvement in product performance, and price sensitivity on the part of consumers and businesses... Many of the Company’s competitors seek to compete primarily through aggressive pricing and very low cost structures, and by imitating the Company’s products and infringing on its intellectual property.”

Item 1A Risk Factors (PDF p.10 / printed p.7)

“The Company’s products and services face substantial competition from companies that have significant technical, marketing, distribution and other resources, as well as established hardware, software and service offerings... Some of the Company’s competitors have broad product lines, low-priced products, large installed bases of active devices, and large customer bases... Certain competitors have the resources, experience or cost structures to provide products and services at little or no profit or even at a loss. The Company has a minority market share in the global smartphone, personal computer, tablet and wearables markets, and some of the markets in which the Company competes have from time to time experienced little to no growth or contracted overall.”

Notable Finding

Apple’s Item 1/1A competitive-landscape language does **not name any specific competitor by name** (no Samsung, Google, Microsoft, Huawei, etc., in the Competition or competitive risk-factor sections). The only named company anywhere near this topic is **Google**, and only in an unrelated context — the default-search-engine distribution agreement and related DOJ antitrust litigation (FY2025 10-K Item 1A, PDF p.17 / printed p.14, not a general-competition mention). Any list of “Apple’s named competitors” in this case study is sourced to general public knowledge (Samsung, Google/Android OEMs, Microsoft, etc.), not to the 10-K, and is labeled accordingly.

SECTION 8 OF 10

AI Strategy (Apple Intelligence)

Source: FY2024 10-K (aapl-20240928.pdf) and FY2025 10-K (aapl-20250927.pdf), full-text searched for “Apple Intelligence” and, more broadly, “artificial intelligence” / “machine learning.”

FY2024 10-K

Item 7 MD&A, “Product, Service and Software Announcements,” Third Quarter 2024 — PDF p.24 / printed p.21: “Apple Intelligence™, a personal intelligence system that uses generative models,” listed alongside the iOS 18 / macOS Sequoia / iPadOS 18 / watchOS 11 / visionOS 2 / tvOS 18 operating system updates announced in Q3 FY2024. This is the only mention of “Apple Intelligence” by name anywhere in the FY2024 10-K.

NOTABLE FINDING — the phrase “Apple Intelligence” does not appear anywhere in the FY2025 10-K

Confirmed by full-text search of the entire document, all 61 PDF pages. This is a genuine gap, not an extraction miss — the brand name that was announced as a headline product feature in the FY2024 10-K is absent from the FY2025 10-K's product announcements, MD&A, and risk factors. The FY2025 10-K instead discusses AI only in generic, unbranded terms, confined to Item 1A Risk Factors:

PDF p.12 / printed p.9 (product/service defect risk factor): “The introduction of new and complex technologies, such as artificial intelligence features, can increase these and other safety risks, including exposing users to harmful, inaccurate or other negative content and experiences.”

PDF p.16 / printed p.13 (legal/regulatory risk factor): lists “machine learning and artificial intelligence” among the subject areas of complex global regulation the Company is exposed to, and states that risks and costs increase as “the Company expands the use of technologies, such as machine learning and artificial intelligence features, and must navigate new legal, regulatory and ethical considerations relating to such technologies.”

Implication for this case study: the 10-K text alone cannot support a narrative of an accelerating, branded “Apple Intelligence” strategy in FY2025 — the filing's own language moved from a branded product announcement (FY2024) to unbranded, risk-framed AI language (FY2025). Any positive narrative about Apple Intelligence's FY2025 rollout, adoption, or roadmap must be sourced to public earnings-call/keynote commentary (outside the 10-K) and labeled as such, consistent with the Installed Base section above.

SECTION 9 OF 10

KPI Framework

The eleven KPIs a real Apple FP&A analyst monitors continuously — each defined with its formula and why it matters specifically to Apple's business model. This section is the direct answer to “what KPIs would you monitor?” in an interview.

1. Revenue

DEFINITION

Total net sales across all product categories (iPhone, Mac, iPad, Wearables, Home & Accessories) and Services.

FORMULA

Sum of iPhone + Mac + iPad + Wearables + Services net sales.

WHY IT MATTERS FOR APPLE

Direct measure of business scale and near-term growth trajectory; FY2025 Services growth of 14% outpaced Products growth of 4%, signaling structural shift toward recurring, higher-margin revenue.

2. Gross Margin

DEFINITION

Gross profit as a percentage of total revenue, calculated at both the blended level and by segment (Products vs. Services).

FORMULA

Gross Margin % = (Gross Profit / Revenue) × 100%; Gross Profit = Revenue – Cost of Sales.

WHY IT MATTERS FOR APPLE

Core indicator of pricing power and operational cost control; Apple's 46.9% blended gross margin (FY2025) reflects premium product positioning and growing Services segment contribution (Services gross margin 75.4% vs. Products 36.8%), making Services mix a key lever for margin expansion.

3. Operating Margin

DEFINITION

Operating income (EBIT) as a percentage of total revenue, reflecting profitability after R&D and SG&A expenses.

FORMULA

Operating Margin % = (Operating Income / Revenue) × 100%; Operating Income = Gross Profit – R&D – SG&A.

WHY IT MATTERS FOR APPLE

Holistic measure of operational use; Apple's R&D investment (8% of FY2025 revenue, \$34.6B) and SG&A (7%, \$27.6B) are critical for ecosystem lock-in, Services expansion, and AI capabilities, making operating margin a litmus test for the return on those investments.

4. Free Cash Flow (FCF)

DEFINITION

Cash generated by operating activities minus capital expenditures, representing cash available for capital allocation (buybacks, dividends, debt repayment).

FORMULA

$\text{FCF} = \text{Operating Cash Flow} - \text{Capital Expenditures}$; FY2025 example: $\$111,482\text{M} - \$12,715\text{M} = \$98,767\text{M}$.

WHY IT MATTERS FOR APPLE

Primary metric driving shareholder capital return; FY2025 FCF of \$98.8B funded \$90.7B in share repurchases and \$15.4B in dividends, concentrating value to remaining shareholders and underpinning the return-capital thesis.

5. Installed Base

DEFINITION

Total number of actively used Apple devices globally across all product categories (iPhone, Mac, iPad, Wearables, Apple TV, etc.).

FORMULA

Count of active devices in use by consumers and businesses worldwide.

WHY IT MATTERS FOR APPLE

Foundation of recurring Services revenue stream; 2.35B+ active devices (Jan 2025 earnings call) supports \$109.2B in annual Services revenue and provides platform for per-device ARPU expansion and ecosystem engagement.

6. Services Mix

DEFINITION

Services net sales as a percentage of total revenue, measuring the shift in revenue composition from Products to higher-margin Services.

FORMULA

$\text{Services Mix \%} = (\text{Services Net Sales} / \text{Total Revenue}) \times 100\%$; FY2025 example: $(\$109,158\text{M} / \$416,161\text{M}) = 26.2\%$.

WHY IT MATTERS FOR APPLE

Services carries ~75% gross margin vs. ~37% for Products; a rising Services percentage of revenue mechanically lifts blended gross margin even with flat Products growth, and provides more predictable, recurring revenue with lower obsolescence risk.

7. Return on Invested Capital (ROIC)

DEFINITION

NOPAT (operating profit after tax) as a percentage of invested capital (total capital deployed in the business), measuring efficiency of capital deployment.

FORMULA

$\text{ROIC \%} = (\text{NOPAT} / \text{Invested Capital}) \times 100\%$; where $\text{NOPAT} = \text{EBIT} \times (1 - \text{effective tax rate})$ and $\text{Invested Capital} = \text{Total Assets} - \text{Current Liabilities}$.

WHY IT MATTERS FOR APPLE

Primary metric justifying capital-return decisions; Apple's notably high ROIC (reflecting a capital base compressed by decades of buybacks) measures how efficiently the company converts invested capital into after-tax operating profit, underpinning management confidence in aggressive annual buyback programs (>\$90B) as superior to acquisition opportunities or organic CapEx.

8. Share Repurchase

DEFINITION

Cash paid for repurchase of Apple common stock during the period.

FORMULA

Sum of cash outflows for share buybacks (per Consolidated Statements of Cash Flows, "Financing activities" line item).

WHY IT MATTERS FOR APPLE

Primary mechanism for returning capital and concentrating value; FY2025 repurchases of \$90.7B reduced share count from 15.1B (FY2024) to 14.8B (FY2025), mechanically lifting EPS even when net income is flat, and reflecting management's confidence in valuation relative to hurdle rates.

9. Inventory Days

DEFINITION

Average number of days inventory is held before sale, measuring supply-chain efficiency and working-capital intensity.

FORMULA

$\text{Inventory Days} = (\text{Average Inventory Balance} / \text{Daily Cost of Revenue})$; $\text{Daily Cost of Revenue} = (\text{Cost of Sales} / 365)$.

WHY IT MATTERS FOR APPLE

Indicator of operational efficiency and working-capital optimization; tight inventory turns are critical for a hardware-centric business to manage product obsolescence risk (especially iPhone, with annual refresh cycles), and low inventory days supports the cash-conversion cycle that funds buybacks without external financing.

10. Cash Conversion

DEFINITION

Operating cash flow as a percentage of net income, measuring the quality of earnings and the efficiency of working-capital management.

FORMULA

Cash Conversion % = (Operating Cash Flow / Net Income) × 100%.

WHY IT MATTERS FOR APPLE

Indicator of earnings quality and working-capital efficiency; high cash conversion (>100% indicates OCF exceeds net income) demonstrates that Apple's accounting profits translate reliably into cash, underpinning the company's ability to sustain large annual dividend (\$15.4B in FY2025) and buyback (\$90.7B) programs without external financing.

11. Working Capital

DEFINITION

Net operating working capital, calculated as current operating assets minus current operating liabilities (excluding debt and cash), or equivalently, the sum of changes in operating working-capital line items on the cash flow statement.

FORMULA

Operating Working Capital = Current Operating Assets – Current Operating Liabilities; or, algebraically, the aggregate change in: accounts receivable, inventory, prepaid expenses, accounts payable, accrued liabilities, and deferred revenue.

WHY IT MATTERS FOR APPLE

Low or negative operating working capital (typical for mature technology companies with strong demand and extended payables) is a source of operating cash flow; Apple's ability to collect cash-on-delivery or within days from carriers and retail partners while extending payables to suppliers drives the exceptional OCF (\$111.5B in FY2025) that, after modest CapEx, funds the entire capital-return program.

SECTION 10 OF 10

Revenue Driver Tree

Method: Units $\times$ ASP for product categories; Installed Base $\times$ ARPU for Services. This section documents the driver method referenced in Phase 3's Drivers tab and the Forecast Bridge's 4-way attribution (Units / ASP / FX / Mix). Placed last in this memo deliberately — the payoff of understanding the business, not the starting point.

CAVEAT ON UNIT SHIPMENTS — read before using any unit figure downstream

Apple has not disclosed unit shipment volumes for iPhone, Mac, or iPad since the FY2018 10-K (last reported in the Q1 FY2019 earnings call). **All unit figures in this analysis are implied estimates** — Revenue $\div$ an assumed ASP benchmarked to public market-research figures (e.g., IDC/Counterpoint-style average selling price ranges) — **not disclosed Apple data**. This mirrors standard sell-side equity-research practice for Apple.

Driver Formulas by Segment

- **iPhone:** Units (implied, per caveat above) $\times$ ASP (implied, benchmarked ~\$850–950 range with year-over-year mix-shift commentary)
- **Mac:** Shipments (implied) $\times$ ASP
- **iPad:** Shipments (implied) $\times$ ASP
- **Wearables, Home and Accessories:** Units (implied) $\times$ ASP
- **Services:** Installed Base (more than 2.35 billion active devices as of Jan 2025 — see Installed Base, Section 6) $\times$ ARPU (derived as: Services Revenue $\div$ Installed Base)

FX and Mix as Overlay Adjustments

FX (foreign exchange) and Mix (product/regional/segment mix shifts) are modeled as separate overlay adjustments on top of the Units $\times$ ASP (or Installed Base $\times$ ARPU) base figure, not folded into ASP or ARPU themselves. This keeps the Forecast Bridge's 4-way attribution (Units / ASP / FX / Mix) clean and prevents compounding.